The AI Dictionary

The terms that keep coming up, and the companies behind them. Keep it close for the next time one of them comes up.

What AI actually is

Generative AI: the broad term for AI that creates new text, images or sound itself.

Model: the underlying system that powers generative AI.

LLM: large language model, trained on enormous amounts of text.

Chatbot: a program you have a conversation with in plain language.

How you talk to it

Prompt: the question or instruction you give an AI.

Prompt engineering: deliberately building a prompt to get a better answer.

Project instruction: fixed rules you set once, applying to every conversation after.

Language in pieces

Token: the smallest piece of text an AI works with.

Context window: how much text an AI can hold at once in a conversation.

"Send this invoice tomorrow." Four words, not necessarily four tokens.

Word	Roughly how many tokens
this	1
tomorrow	1
send	1
invoicing	2 to 3, being a compound word

Rule of thumb (OpenAI): 1 token ≈ 4 characters of English text. Other languages, including Dutch and German, typically cost more tokens per word (Oxford research 2023, roughly 30% more for German and French).

When it goes wrong

Hallucination: an AI makes something up that sounds convincing but is not true.

Sycophancy: an AI agrees with you to keep you happy, regardless of accuracy.

Guardrails: built in rules against unwanted answers.

From answering to acting on its own

Agent: an AI that takes several steps on its own to complete a task.

RAG: retrieval augmented generation, an AI that looks up sources before answering.

Multimodal: an AI that handles text, images and sound at once.

Fine-tuning: further training an existing model on specific data.

Words beyond the chat

Open source: a model whose building blocks are freely available.

Deepfake: fabricated image, video or audio made to look convincingly real.

API: the technical connection that lets two systems talk automatically.

The big players

OpenAI	Anthropic	Google	Meta	xAI
makes ChatGPT	makes Claude, safety first	makes Gemini	makes Meta AI, on Llama	makes Grok